

ORIGINAL

Before the  
FEDERAL MARITIME COMMISSION  
Washington, D.C. 20573

FILED

DEC 06 2017

Federal Maritime Commission  
Office of the Secretary

Petition P4-17

PETITION OF SM LINE CORPORATION  
FOR AN EXEMPTION FROM 46 C.F.R. §530.10

1. Pursuant to 46 C.F.R. §§502.92, 502.94, and 530.13(b), SM Line Corporation, petitions for relief from the provisions of 46 C.F.R. §530.10 which require individual service contract amendments.

2. SM Line Corporation (Corporation 1) is a Korean corporation and vessel operating common carrier (Organization No. 026475). On or about January 12, 2018, Corporation 1 will be merged with its affiliated Korean corporation, Woobang E&C (Corporation 2). This merger will include about 769 service contracts. From such date, the new merged company will have the legal name SM Line Corporation and continue the shipping business with the same vessels and other equipment operated by the same personnel. Under Korean law, Corporation 1 and Corporation 2 are jointly and severally liable, so the current corporation guarantees the performance of the new corporation, including its service contracts. Therefore, the change in contract party is administrative and will cause no harm to any shipper counter-party.

3. While some service contracts may permit assignment upon notice to the other contracting party, Petitioner believes that many of its service contracts are silent about

assignment. It would be an undue burden on Petitioner and its shipper customers to identify those contracts not assignable by notice and to prepare, sign and file many individual amendments. Therefore, Petitioner respectfully requests that in lieu of individual amendments the Commission permit a universal notice to the Commission and to all affected service contract parties. Notice will be sent electronically to each shipper counter party and say:

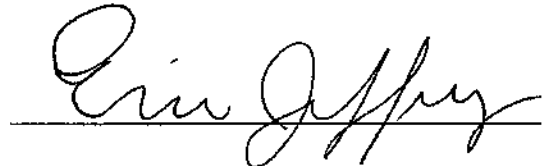
We send notice about the referenced service contract. Effective on or about January 12, 2018, the SM Line shipping business will be merged with an affiliate company (Woobang E&C). The new merged company will have the legal name SM Line Corporation and continue the shipping business with the same vessels and other equipment operated by the same personnel who now serve you. The current company will guarantee the performance of your service contract by the affiliate company with the new address 46, Chungjang-daero 9 beon-gil, Jung-gu, Busan, Korea. We have submitted a Petition to the FMC to cover filing requirements. If your contract permits assignment by notice, please consider this to be that notice. Other contracts require consent to this assignment, so we ask you to tell us by reply e-mail by December 22, 2017 if you require a formal consent to be prepared. If we have not heard from you by then or you continue to tender cargo under the contract on or after that date, we will assume you agree to the assignment and do not require a formal consent. Of course, if you have any questions, please let us know.

Petitioner also undertakes on the date or dates ordered by the Commission (a) to file a Universal Notice through SERVCON with the Commission under Petitioner's organization number and under the organization number assigned to Corporation 2 enumerating all affected service contracts and (b) to submit a spreadsheet listing all affected service contracts and reporting their disposition.

4. Petitioner believes these steps will fully inform and protect all shipper counter-parties. The relief requested will not result in a substantial reduction in competition nor be detrimental to commerce. Indeed, there will be no reduction in competition, and the relief will promote commerce by permitting the orderly servicing of these service contracts. We submit that all regulatory concerns are satisfied and request that this Petition be granted.

5. The Commission granted similar relief to another carrier in Petition No. P1-09 (Order served November 24, 2009), represented by undersigned counsel, who are aware of no difficulty or complaint in that matter involving the transfer of over 2,700 service contracts.

Respectfully submitted,

A handwritten signature in cursive script, appearing to read "Eric Jeffrey", written over a horizontal line.

Robert B. Yoshitomi  
Eric C. Jeffrey  
NIXON PEABODY LLP  
799 Ninth Street NW, Suite 500  
Washington, DC 20001-5237  
Telephone: 202/583-8000  
Facsimile: 202/585-8080  
E-mail: ryoshitomi@nixonpeabody.com  
E-mail: ejeffrey@nixonpeabody.com

Attorneys for SM Line Corporation

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